In this lesson, you will learn how to use moving averages and candlesicks in conjunction to fnd the underlying trend in a market and apply srategies to enter & exit trades.

What is a Moving Average?

A moving average is a technical indicator that takes the average closing price of a currency pair for the las "X" number of periods. It is a very simple indicator to use when trading and I am goin to show you two ways to use moving averages when making trading decisions.

There are two types of moving averages:

1. **The Simple Moving Average**
2. **The Exponential Moving Average**

There isn't much of a diference between the two except the reaction speed between the price and the indicator. The EMA
(Exponential Moving Average) moves faser and changes direction earlier than the SMA (Simple Moving Average). **Basically, the EMA reacts a lot sooner to price action than the SMA.** Even though the EMA reacts quicker, like every other technical indicator, there needs be a level of confuence before placing your trade to prevent the likely hood of false or premature signals. Moving averages work bes in trending markets.

If you are a **day trader** the bes periods to use in your moving average setting is lised below:

- **9 or 10 Period:** Short-term & Extremely fas-moving and popular among retail traders. Used as a immediate trend identifer.
- **18 / 21 Period:** Medium-term & mos accurate period in moving averages. Great to use in a trending market.
- **44 / 50 Period:** Long-term moving average & great for identifying the long term trend.

If you are a **swing trader** the bes periods to use in your moving average setting is lised below:

- **20 / 21 period:** When it comes to short-term swing trading I use the 20 period moving average. During trends, price respects it so well and it also signals trend shifts.
- **50 period:** As a Medium term average the 50 moving average is the sandard swing-trading moving average and is very common. It is the ideal compromise between being too short and too long.
- **100 period:** Price action reacts very well for support and resisance – especially on the daily and/or weekly time
- frame **200/250 period:** The 200 period moving average works bes on the daily chart since it describes one year of price action
  (one year has roughly 250 trading days)

The Trend

Moving averages allow you to say on the right side of the market and give you the bes probability of success. The Golden Cross and the Death cross is a signal that emerges when the shorter moving average and the longer moving average cross over each other. When price trends above both EMA's you have a higher win-rate if you look for buying opportunities and when price trends below both EMA's you have a higher win-rate if you look for selling opportunities.

When the short term moving average crosses above the long term moving average it generate a **BUY** signal as price breaks above both moving averages to trend. **This is considered the golden cross and this is a bullish signal.** When the short term moving average crosses below the long term moving average it generates a **SELL** signal as price breaks below both averages to trend. **This is considered the death cross and this is a bearish signal.**

Now, when a trend has been identified following a cross between the EMA's it is in your best interest to only trade in the direction of that trend on the next lower timeframe. Any bearish momentum on the next lower timeframe in a bullish trending market is just a retracement on the higher timeframe. Any bullish momentum on the next lower timeframe in a bearish trending market is jus a rally on the higher timeframe. **Basically, when the price is above the EMA, you should only look for buying opportunities. When price is below the EMA, you should only look for selling opportunities.**

The Golden Cross

EMA18
EMA44



Prior to the golden cross, highlighted by the green boxes, price action displayed srong bullish momentum candlesick patterns when crossing the short term (blue line) and long term (red line) EMA's and opening above the long term EMA. These are the frs alerts exhibited when using moving averages that the trend may shift directions. The golden cross, highlighted by the yellow box, is a lagging indication that confrms the bullish trend is underway.

The Death Cross

EMA18
EMA44



Prior to and during the death cross, highlighted by the green boxes, price action displayed strong bearish momentum candlestick patterns when crossing the short term (blue line) and long term (red line) EMA's and opening below the long term EMA. These are the first alerts exhibited when using moving averages that the trend may shift directions. The death cross, highlighted by the red box, is a lagging indication that confirms the bearish trend is underway.

Rule for trading Trends with Moving Averages

Here are the rules for trend trading using a moving average:

1. Identify the longer-term and shorter-term moving averages. The longer-term moving average is the slower moving average, and the shorter-term moving average is the faser moving average.
2. Look for the golden cross and death cross signals. When the shorter-term moving average crosses above the longer-term moving average, it is a golden cross and generates a BUY signal. When the shorter-term moving average crosses below the longer-term moving average, it is a death cross and generates a SELL signal.
3. When a trend has been identifed following a cross between the EMA's, only trade in the direction of that trend on the next lower timeframe.
4. If the price is above the EMA, only look for buying opportunities. If the price is below the EMA, only look for selling opportunities.
5. To confrm a trend, look for price to continue trending above or below the EMA on the higher timeframe.
6. Place sop-loss orders to limit losses in case the market moves agains your position.
7. Use take-proft orders to lock in profts when the market moves in your favor.
8. Always manage risk by using proper position sizing, risk free trading and not risking more than you can aford to lose.

Support & Resisance

Moving averages are not efective in ranging markets, they are a trending indicator. Mos often, leading up to a bounce in support and resisance is a period of consolidation and market impulse. Frequently, in the form of price action, consolidation and impulse is exhibited by dojis, inside bars and pin bars. Breaks in support and resisance (EMA's) are often candlesick patterns that exhibit maximum market pressure. If the moving averages have little disance between one another and are plateauing parallel relative to each other pay close attention to price action. This type of behavior usually leads to a break or bounce in support or resisance. A srong momentum exhibited by the EMA's is characterized by an inclined and declined of parallel slopes or EMA crossings (death or golden) during bounces and breaks. EMA18 is the shorter moving average that serves as the frs alert signal during market top and market bottom crossovers. When price is trending above it, it serves as a mid-term support and when price is trending below it, it serves as a mid-term resisance. EMA44 is the longer moving average that serves as your trailing sop loss level. When price breaks and closes above or below this EMA **WAIT** for the golden cross or death cross to follow. If the EMA's do not cross then price will not reverse direction.

Bullish Moving Average

EMA18
EMA44



Long wicks and consolidated short bodies emphasize zones of support from the moving averages.

Bearish Moving Average

EMA18
EMA44



Long wicks and consolidated short bodies emphasize zones of resistance from the moving averages.

Rule for trading Support & Resistance with Moving Averages

Here are the rules for trading using a moving average with the given information:

1. Use the EMA18 as the first alert signal during market top and market bottom crossovers. When price is trending above it, it serves as a mid-term support, and when price is trending below it, it serves as a mid-term resistance.
2. Use the EMA44 as your trailing stop loss level. When price breaks and closes above or below this EMA, WAIT for the golden cross or death cross to follow.
3. Look for candlestick patterns such as dojis, inside bars, and pin bars to identify consolidation and impulse in the market leading up to a bounce in support and resistance.

4. Breaks in support and resistance (EMA's) are often characterized by candlestick patterns that exhibit maximum market pressure.
5. When the EMA's have little distance between one another and are plateauing parallel relative to each other, pay close attention to price action. This type of behavior usually leads to a break or bounce in support or resistance.
6. A strong momentum exhibited by the EMA's is characterized by an inclined and declined of parallel slopes or EMA crossings (death or golden) during bounces and breaks.
7. Only trade in the direction of the trend indicated by the EMA's. If the EMA's are not crossing, then price will not reverse direction.
8. Use stop-loss orders to limit losses in case the market moves against your position.
9. Use take-profit orders to lock in profits when the market moves in your favor.
10. Always manage risk by using proper position sizing and not risking more than you can afford to lose.